

K.C. Ninan v. Kerala State Electricity Board & Ors.

Supreme Court of India · Three-Judge Bench · 19 May 2023 · (2023) SCC OnLine SC 603; Civil Appeal Nos. 2109-2110 of 2004 (batch) · Civil Appeal Nos. 2109-2110 of 2004 (and connected appeals) · **Reference answered by ten conclusions (para 328); recovery of principal arrears from transferees/auction-purchasers upheld where a statutory Condition of Supply/Code so provides; interest accrued from the date of the purchasers' supply applications waived under Article 142**

HEADNOTE

The duty to supply electricity under Section 43 of the Electricity Act, 2003 is not absolute; it is subject to the charges and compliances stipulated by the utility, and is owed with respect to the owner or occupier of particular premises (a consumer-premises synergy) — one becomes a 'consumer' only for the premises for which supply is sought and provided, so an application for the same premises earlier supplied is a 'reconnection' while different premises make it a fresh connection even for the same consumer. A Condition of Supply requiring a new owner to clear the previous owner's electricity arrears as a precondition to supply has a statutory character (Section 49 of the 1948 Act); the regulatory power under Section 50, and the rule-making power under Section 181 read with Section 50, are wide enough to stipulate recovery of a previous owner's arrears from a new/subsequent owner and to create a statutory charge on the premises even absent a charge-creating provision in the plenary statute. The power to recover arrears by suit is independent of the power to disconnect under Section 56; and 'as is where is' puts every auction-bidder on notice of dues including electricity dues. *Isha Marbles* is substantially qualified. (Interest from the date of the supply applications was waived under Article 142.)

HOLDING-UNITS

INTERPLAY · ARREARS::transferee-liability

Supply Code can create a statutory charge for a previous owner's arrears recoverable from a new owner (apex authority)

QUESTION

Can a new/subsequent owner (including an auction-purchaser) be required to clear the previous owner's electricity arrears as a condition of supply, and can the Supply Code create such a statutory charge?

HOLDING

Yes. A condition of supply requiring the new owner to clear the previous owner's arrears has a statutory character (s.49, 1948 Act); the State Commission's regulatory power under s.50, and the rule-making power under s.181 read with s.50, are wide enough to stipulate recovery of a previous owner's arrears from a new/subsequent owner and to create a statutory charge on the premises even where the plenary statute does not provide for one. Such Supply Code recoupment has a reasonable nexus with the objects of the 2003 Act. The power to recover by suit is independent of the disconnection power under s.56; and 'as is where is' puts an auction-purchaser on notice of electricity dues. Outstanding interest from the date of the supply application was waived under Article 142. ¶ para 328(d)-(g), (i)

LIMITING FACTS

A batch of appeals concerning auction-purchasers/new owners of premises (sold 'as is where is' under SARFAESI/recovery process) with unpaid electricity dues of previous owners, whom the utilities refused to supply until the arrears were cleared; the question of a charge on the premises was referred to a three-Judge Bench in view of *Isha Marbles*.

FLAG Apex authority confirming the arrears/transferee line (cf. SCJ-031 Haryana SEB; applied in SCJ-005 Amir Ahmad). Substantially qualifies *Isha Marbles* (1995).

INTERPLAY · EA2003::43

Duty to supply is not absolute; consumer-premises synergy; reconnection = same premises

HOLDING

The duty to supply under s.43 is not absolute and is subject to the charges and compliances stipulated by the utility as part of the application for supply; it is owed to the owner or occupier of particular premises, and one becomes a 'consumer' only with respect to those premises for which electricity is sought and provided. An application for the same

premises for which supply was earlier provided is a 'reconnection'; different premises make it a fresh connection even if the consumer is the same. ¶ para 328(a)-(c)

INTERPLAY · EA2003::56

Recovery by suit is independent of the disconnection power

HOLDING

The power to initiate recovery proceedings by filing a suit against a defaulting consumer is independent of the power to disconnect supply as a means of recovery under Section 56. ¶ para 328(h)

PRINCIPLE TAGS

arrears-run-with-the-premises Apex authority: the Supply Code (under s.50/s.181) can create a statutory charge on the premises for a previous owner's arrears recoverable from a new/subsequent owner; a condition requiring a new owner to clear such arrears is statutory and valid (confirming and extending Haryana SEB v. Hanuman Rice Mills; substantially qualifying Isha Marbles). Lead authorities: *Isha Marbles v. Bihar State Electricity Board*. ¶ para 328(d)-(g), (i)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Isha Marbles v. Bihar State Electricity Board</i> (1995) 2 SCC 648 Supreme Court	A fresh purchaser / auction-purchaser could not be saddled with the previous owner's electricity arrears in the absence of a statutory charge; the duty to supply could not be conditioned on clearing another's dues.	Distinguished / substantially qualified — the Court recognised that a statutory charge can be created under the Supply Code (ss.50/181, and s.49 of the 1948 Act), so arrears are recoverable from a transferee where such a Condition of Supply exists. ¶ para 328 and preceding discussion	Petitioner	Distinguished

SCJ-037 · K.C. Ninan v. Kerala State Electricity Board & Ors. · (2023) SCC OnLine SC 603; Civil Appeal Nos. 2109-2110 of 2004 (batch) · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.